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Large Language Models, Small Labor Market Effects

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Abstract

We examine the early labor market impacts of AI chatbots by linking large-scale, representative adoption surveys to administrative labor records in Denmark. Using difference-in-differences, we estimate precise null effects on earnings and recorded hours at both the worker and workplace levels, ruling out effects larger than 2% two years after. These null results hold for intensive users, early adopters, workplaces with substantial investments, workers reporting large gains, flexible-pay occupations, and early-career jobs. Adoption is linked to occupational switching and task restructuring, but without net changes in hours or earnings. Our findings challenge narratives of imminent disruption from Generative AI.

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